

INTERNAL AUDIT REPORT

Contract Compliance Audit | Report No. AR-02345

Report ID:	AR-02345
Audit Type:	Contract Compliance Audit
Report Date:	February 21, 2024
Audit Period:	2023-04-11 to 2024-01-25
Lead Auditor:	Erik Burton (EMP-50104)
Reviewed By:	John Hooper (EMP-2715)
Primary Vendor Reference:	MeridianTech Holdings (VND-01252)
Subject Employee Reference:	Alexandra Owen (EMP-72890)
Primary Transaction Reference:	TXN-C1655072591
Overall Risk Rating:	MEDIUM

1. EXECUTIVE SUMMARY

This contract compliance audit covered the period 2023-04-11 to 2024-01-25 and examined transactions, approvals, and compliance records associated with vendor MeridianTech Holdings (VND-01252) and employee Alexandra Owen (EMP-72890). The audit identified 3 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **MEDIUM**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C1655072591 (amount 192,734.96 CAD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-000054	MEDIUM	POLICY BREACH	Entertainment expense of \$455,850 submitted by EMP-98719 exceeds monthly policy allowance of \$100,000.
FND-002922	HIGH	APPROVAL LIMIT	Transaction processed with approval from an officer whose delegated authority was 68% below the required threshold.

Finding ID	Severity	Category	Description
FND-002345	MEDIUM	POLICY BREACH	Employee submitted Equipment claim 19% above the authorised policy limit without prior exception approval.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-001545	TRANSACTION RECORD	EVD-PPD-7397	0.63
EVI-005127	CONTRACT RECORD	EVD-GGW-6871	0.61
EVI-006686	AUDIT REPORT	EVD-PNT-4314	0.63
EVI-006745	VENDOR RECORD	EVD-TWS-8806	0.64
EVI-007984	EXPENSE CLAIM	EVD-JNU-1473	0.64
EVI-009746	AUDIT REPORT	EVD-KSY-5885	0.89

5. RECOMMENDATIONS

- Restrict post-termination system access to prevent ghost-approver scenarios.
- Introduce automated system validation to block approvals exceeding the approver's authorised limit.
- Implement enhanced due diligence procedures for vendors rated HIGH or CRITICAL risk prior to contract renewal.

6. MANAGEMENT RESPONSE

Management accepts the residual risk and has documented justification on file with the Chief Risk Officer.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Erik Burton	EMP-50104	2024-02-21
Reviewing Officer	John Hooper	EMP-2715	2024-02-23